FOREIGN EXCHANGE (REGULATION) ACT, 2019

विदेशी विनिमय (नियमित गर्ने) ऐन, २०१९

UPTO LATEST AMENDMENT
2081.12.18
(18 Chaitra 2081)



COMPLETE
INFOGRAPHIC COVERAGE

- All Sections Explained
- Amendments Included
- Clear & Simple Infographics
- Exam/Study Ready



By
CA Govinda Tamang
CHARTERED ACCOUNTANT

INTRODUCTION TO THE FOREIGN EXCHANGE (REGULATION) ACT, 2019 (1962)

LEGISLATION OVERVIEW



ACT TITLE & CITATION

This Act may be called as the **"Foreign Exchange (Regulation) Act, 2019 (1962)".**





PREAMBLE: PURPOSE

WHEREAS, it is expedient to further regulate foreign exchange-related transactions in order to maintain the **ECONOMIC INTERESTS OF THE GENERAL PUBLIC.**



EXTENT OF APPLICATION (SCOPE)

It shall extend to:

- **THROUGHOUT NEPAL**
- **ALL CITIZENS OF NEPAL** (residing outside Nepal)
- **REGISTERED FIRMS, COMPANIES, BODIES, BRANCHES, AND AGENCIES** (registered in Nepal & operating anywhere outside).



COMMENCEMENT

THIS SECTION:
Commences forthwith.

OTHER SECTIONS:
Shall commence on dates & areas specified the **GOVERNMENT OF NEPAL** via Notification in the **NEPAL GAZETTE.**



REGULATING FOR NEPAL'S ECONOMIC WELL-BEING

SN	Description	Date
1	Date of Royal Seal and Publication:	2019.3.15
2	Some Nepal Acts Amendment, Repeal and Continuance Through Rearrangements Act, 2019	2019.12.30
3	Judicial Administration Reform (Fourth Amendment) Act, 2043	2043.7.24
4	Foreign Exchange (Regulation) (First Amendment) Act, 2044	2044.7.1
5	Finance Related Some Nepal Acts Amendment Act, 2047	2047.8.27
6	Some Nepal Acts Amendment Act, 2048	2049.1.8
7	Foreign Exchange (Regulation) (Second Amendment) Act, 2058	2059.4.22
8	Republic Strengthening and Some Nepal Laws Amendment Act, 2066	2066.10.7
9	An Act to Amend Certain Nepal Acts, 2072	2072.11.13
10	An Act to Amend, Consolidate, Adjust and Repeal Certain Nepal Acts, 2074	2074.06.30
11	An Act to Amend Certain Nepal Acts, 2075	2075.11.19
12	An Act to Amend Certain Nepal Acts Relating to Economic and Business Environment Improvement and Investment Promotion, 2081	2081.12.18

Foreign Exchange (Regulation) Act 2019 – List of Sections

Section 1: Short Title, Extension and Commencement
Section 2: Definitions
Section 3: License to be Obtained to Carry on Foreign Exchange Transaction
Section 3A: Power of Bank to Take Action
Section 3B: Other Provisions Relating to Foreign Exchange Transactions
Section 4: Procedure for Carrying on Foreign Exchange Transactions
Section 4A: Provisions Relating to Foreign Exchange Obtained by Citizens of Nepal
Section 4B: Payment for Sale of Goods or Provision of Services to a Foreigner
Section 5: Restriction on Export and Import of Certain Currency and Bullion
Section 6: Power of Government of Nepal to Obtain Foreign Exchange
Section 7: Duty of Persons Who Have Source to Obtain Foreign Exchange
Section 8: Duty of Importers
Section 9: Payment of Price of the Exported Goods
Section 9A: To Receive Payment of Value of Exported Goods
Section 9B: Acts Not to be Done by the Exporter
Section 9C: Restriction on Making or Receiving Payment
Section 10: Restriction on Export and Transmission of Securities
Section 10A: Regulation of Investment Abroad
Section 10B: Provisions Relating to Lending and Borrowing of Loans in Foreign Exchange
Section 10C: Provisions Relating to Repatriation, Investment of, and Transfer of Right in Foreign Exchange
Section 11: Power to Demand Statements
Section 11A: Designation of Investigating Officer
Section 11B: To Search for Suspicious Person
Section 11C: Power to Stop and Search Motor Vehicle
Section 11D: Power to Search Building or Place of Transaction
Section 11E: Power to Arrest
Section 11F: Power to Hold in Detention
Section 11G: Prohibition on Divulgence of Secrecy
Section 11H: To Safely Foreign Exchange and Document Taken into Custody
Section 11I: To Give Receipt
Section 11J: To Submit Report
Section 12: Power of Bank to Give Direction, Frame By-Law or Issue Order or Notice
Section 13: Prohibition on Entering into Contract in Contravention of the Objective of This Act
Section 14: Inspection
Section 15: Power of the Government of Nepal to Give Directives
Section 16: Permission of the Bank to be Obtained to Open an Account
Section 17: Punishment
Section 18: Inquiry and Institution of Case
Section 18A: Filing of Case
Section 18B: Certification of Copy of Document Related to Foreign Exchange
Section 19: Document to be Void
Section 20: Reward to be Provision of Information
Section 21: Claim or Complaint Not to Lie
Section 22: Power to Frame Rules
Section 23: Repeal
Section 24: Existing Licenses
~~Section 25; Repealed~~

DEFINITIONS OF FINANCIAL INSTRUMENTS

2(a) CURRENCY

- CURRENCY NOTES & POSTAL ORDERS
- POSTAL NOTES, MONEY ORDERS
- CHEQUES, DRAFTS, TRAVELLERS CHEQUES
- LETTERS OF CREDIT, BILLS OF EXCHANGE
- PROMISSORY NOTES & CREDIT CARDS
- SIMILAR OTHER MONETARY INSTRUMENTS (as prescribed by the Bank)

BANK

BANK

Public Notice

AS PRESCRIBED BY THE BANK
(via publishing & broadcasting a public notice)

2(b) FOREIGN CURRENCY



- ANY CURRENCY OTHER THAN NEPALESE CURRENCY
- SPECIAL DRAWING RIGHTS (SDRs) from IMF
- ASIAN CURRENCY UNIT (ACU)
- EUROPEAN CURRENCY UNIT (ECU)
- SUCH OTHER INSTRUMENTS (as prescribed by the Bank)

BANK

AS PRESCRIBED BY THE BANK
(via publishing & broadcasting a public notice)

2(d) FOREIGN EXCHANGE

- FOREIGN CURRENCY
- DEPOSITS, CREDITS & BALANCES (in a foreign currency)
- FOREIGN SECURITIES
- INSTRUMENTS IN INTERNATIONAL CIRCULATION & PAID IN FOREIGN CURRENCY
  - Cheques
  - Drafts
  - Travellers Cheques
  - Electronic Fund Transfers
  - Credit Cards
  - Letters of Credit
  - Bills of Exchange
  - Promissory Notes
- ANY OTHER SUCH MONETARY INSTRUMENTS (as prescribed by the Bank)

BANK

Public Notice

AS PRESCRIBED BY THE BANK
(via publishing & broadcasting a public notice)

SECTION 3: LICENSE TO BE OBTAINED TO CARRY ON FOREIGN EXCHANGE TRANSACTION

1. OBLIGATION TO OBTAIN LICENSE



INTENT TO CARRY ON FOREX TRANSACTION

A person, firm, company or body must obtain a license from the Bank.

FOREX LICENSING PROCESS



SUBMIT APPLICATION

With details specified by the Bank.

3. BANK EVALUATION & TERMS



BANK INQUIRY & DECISION

Evaluates application based on criteria. If appropriate, **ISSUES LICENSE.**



SPECIFIED TERMS:

- Type & amount of forex
- Period of transaction
- Other conditions.

4. REGULARIZATION & MANAGEMENT



ORDERS & DIRECTIVES.

Bank issues necessary orders. **DUTY OF LICENSEE TO ABIDE.**

5. LICENSEE DUTIES & FEES



FEES & DEPOSITS. PAY ANNUAL FEES AND DEPOSITS.

License may be **CANCELLED OR SUSPENDED** for non-payment.

6. PROVISIONAL LICENSE

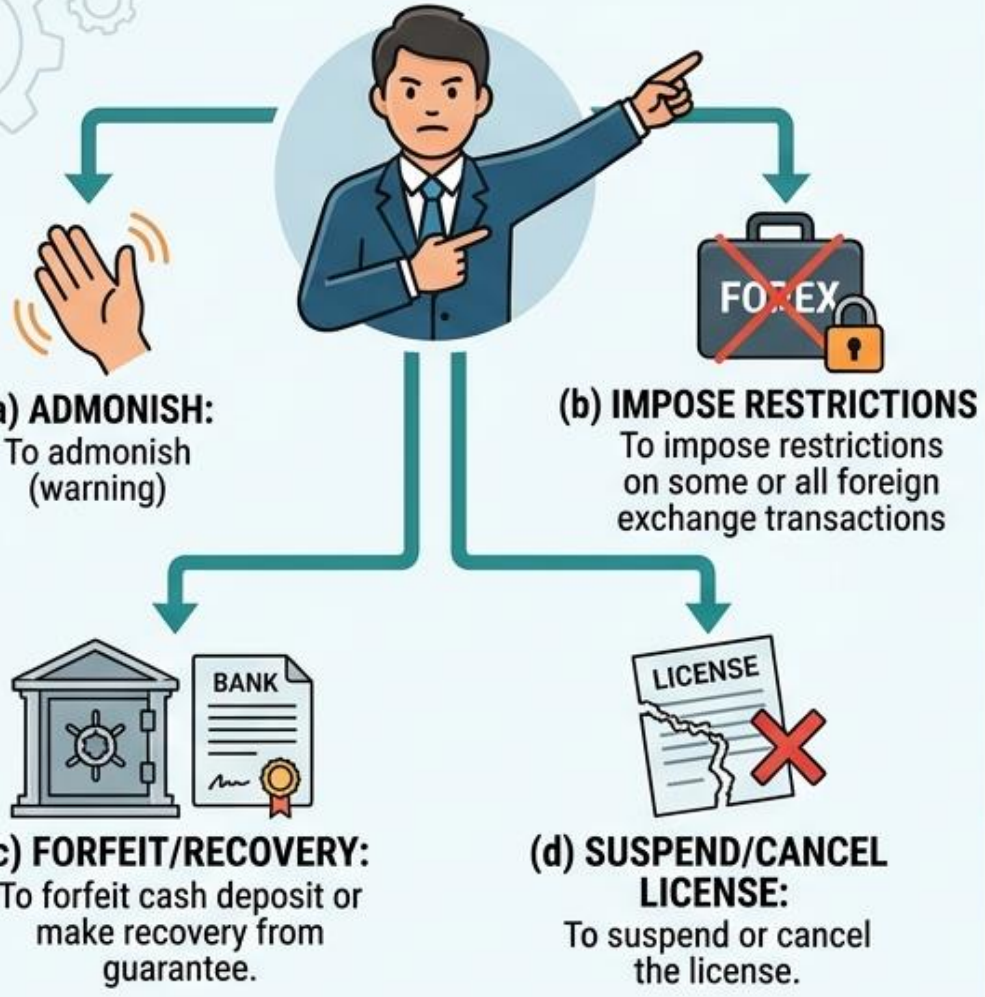


PROVISIONAL LICENSE.

Applications for Patake (temporary) be issued, subject to this Section.

NEPAL FOREIGN EXCHANGE REGULATION SUMMARY: SECTIONS 3A, 3B, & 4

SECTION 3A: POWER OF BANK TO TAKE ACTION



(a) ADMONISH:
To admonish (warning)

(b) IMPOSE RESTRICTIONS
To impose restrictions on some or all foreign exchange transactions

(c) FORFEIT/RECOVERY:
To forfeit cash deposit or make recovery from guarantee.

(d) SUSPEND/CANCEL LICENSE:
To suspend or cancel the license.

REQUIREMENT: Reasonable opportunity to defend must be provided.

SECTION 3B: OTHER PROVISIONS



Provisions other than this Act are as prescribed by the Bank via public notice.

Publishing & Broadcasting

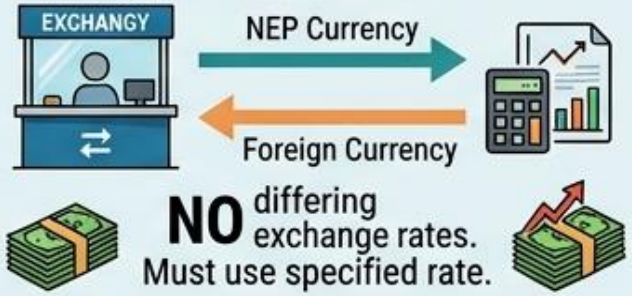
SECTION 4: PROCEDURE FOR CARRYING ON FOREIGN EXCHANGE TRANSACTIONS

(1) BANK PERMISSION



Carry on transaction with any person other than licensee?
ONLY WITH BANK PERMISSION.

(2) EXCHANGE RATES



NO differing exchange rates.
Must use specified rate.

(3) SPECIFIC PURPOSE



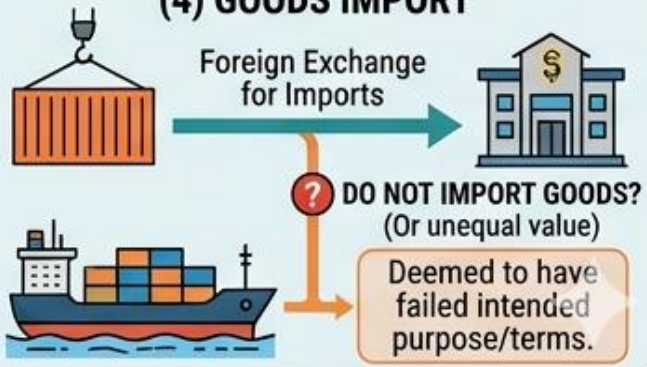
USE FOR INTENDED PURPOSE.

NO OTHER PURPOSE. VIOLATE TERMS?



Sell to licensee/bank at specified rate within 30 days of knowledge if purpose/terms unfulfilled.

(4) GOODS IMPORT



GUIDELINES ON FOREIGN EXCHANGE & PAYMENTS (NEPAL)

NEPAL RASTRA BANK

SECTION 4A: PROVISIONS FOR CITIZENS OF NEPAL

FOREIGN EXCHANGE OBTAINED



BANK NOTICES SPECIFY PROVISIONS

INVESTMENTS HELD ABROAD



CITIZENS MAY KEEP FOREIGN EARNINGS/INVESTMENTS ABROAD AFTER RETURN BY INFORMING THE BANK (EXCEPT PER SEC. 6)

SECTION 4B: PAYMENT FOR GOODS & SERVICES FROM FOREIGNERS



PAYMENT MUST BE IN CONVERTIBLE FOREIGN CURRENCY

UNLESS SPECIFIED OTHERWISE BY BANK NOTICES

SECTION 5: RESTRICTION ON IMPORT & EXPORT OF CURRENCY & BULLION

IMPORT (INTO NEPAL)



RESTRICTED BY GOVERNMENT ORDER (GAZETTE NOTIFICATION) WITHOUT BANK LICENSE

CERTAIN RESTRICTIONS MAY APPLY OR BE EXEMPTED

EXPORT (OUT OF NEPAL)



NO PERSON SHALL CARRY FOREIGN EXCHANGE OUTSIDE NEPAL WITHOUT BANK LICENSE (EXCEPT NEPALESE CURRENCY & LICENSEE FUNDS)

GOVERNMENT MAY GRANT EXEMPTIONS VIA GAZETTE

GUIDE TO NEPAL'S FOREIGN EXCHANGE REGULATION: SECTIONS 6 & 7

SECTION 6: GOVERNMENT'S EMERGENCY POWER TO OBTAIN FOREIGN EXCHANGE

IN A FOREIGN EXCHANGE CRISIS.



1. GON ISSUES GAZETTE NOTIFICATION

NEPALESE CITIZENS OWNING FOREIGN EXCHANGE:

(a) PRODUCE FOR SALE AT BANK'S RATE



(b) TRANSFER TITLE TO GON



PROVISO: Exemptions available for certain persons/classes

2. EXCEPTION: Not applicable to foreign exchange obtained via Bank's permission.

SECTION 7: DUTY OF PERSONS WITH SOURCES OF FOREIGN EXCHANGE

PERSONS WITH RIGHT TO OBTAIN FOREIGN EXCHANGE (OUTSIDE NEPAL)

1. THE MANDATE

DO NOT IMPEDE OR DELAY PAYMENT





without obtaining **PERMISSION** of Nepal Rastra Bank



2. THE CONSEQUENCE

VIOLATION → **BANK MAY GIVE NECESSARY DIRECTIONS** to effect payment



NRB official gives order → **OBTAIN THE FOREIGN EXCHANGE / RECOVER PAYMENT**

SECTION 8: DUTY OF IMPORTERS

1) TIMELY IMPORT & DOCUMENT SUBMISSION



Import goods within time specified by Nepara Bank. Submit required documents.

2) FOREIGN EXCHANGE TYPE & PAYMENT



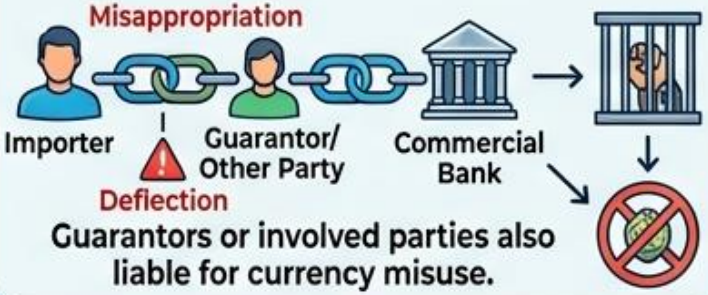
Payment type and procedures specified by Bank via public notice.

3) CONSONANCE WITH L/C PRICE & QUANTITY



Import goods matching L/C price & quantity. Amendments allowed with Bank approval.

4) LIABILITY IN L/C TRANSACTIONS & GUARANTEES



Guarantors or involved parties also liable for currency misuse.

5) IMPORT OF KNOWLEDGE & IT



Specific procedures for knowledge & info tech import as notified by the Bank.

6) ACTUAL INVOICE & ACTS CONFORMING



Importers must make an ACTUAL invoice. Do not do any acts not conforming to it.

GUIDE TO EXPORT PRICE PAYMENT REGULATIONS (SECTIONS 9 & 9A)

SECTION 9: PAYMENT OF PRICE OF THE EXPORTED GOODS → **SECTION 9A:** RECEIVING PAYMENT OF VALUE OF EXPORTED GOODS

OVERVIEW & RULES

Government of Nepal (GoN) and Nepal Rastra Bank (NRB)

- GoN Prohibits Exports (except per rules)
- NRB Consulted
- GoN Frames Rules / Issues Orders (Sub-sec 1 & 2)

EXPORTER'S RESPONSIBILITIES

1 DECLARATION & COMMITMENT



Exporter declares at Customs



Commit to Bring Payment of declared value in approved Foreign Exchange within prescribed period (Sub-sec 1)

2 PAYMENT OF DECLARED VALUE



(Sub-sec 1)

3 TIMELINE & COMPLIANCE

Payment Received within Prescribed Period

VIOLATION & EXCEPTIONS

Payment NOT Received

DEEMED A VIOLATION (Sub-sec 3)

ADJUSTING VALUE



Adjust Value (Sub-sec 2)



Application for Excess/Less Payment (Justifiable Facts)

SPECIAL PROVISION

(Sub-sec 7)



Knowledge & IT Exports



Procedures specified by NRB via Public Notice

CERTIFICATION & MANAGEMENT

(Sub-sec 5, 6)



NRB may require:

- Agreement/Evidence
- Letter of Credit/other means
- Submit declaration form to specific authority

FAILED TO RECEIVE PAYMENT? (Sub-sec 4)



Submit Application to NRB with Reasonable Reason

IF NRB SATISFIED

NRB is an order:



- A) Goods Sold: Bring Payment in next prescribed period. or
- B) Goods NOT Sold: Sell & bring payment OR RETURN goods to Nepal.

EXCEPTION PROVISO



Payment failed due to conditions BEYOND CONTROL

NRB gives Concession (Full/Partial)

*This infographic summarizes Sections 9 & 9A of the relevant Act.

SECTION 9B: ACTS NOT TO BE DONE BY THE EXPORTER

EXPORT RESTRICTIONS

(a) RECEIVING PAYMENT THROUGH UNPRESCRIBED MODES



(b) ARRANGING DELAYED PAYMENT



(c) NOT RECEIVING PAYMENT FOR TOTAL VALUE



(d) DEFYING REAL INVOICING (FRAUDULENT ACTS)



SECTION 9C: RESTRICTION ON MAKING OR RECEIVING PAYMENT

GENERAL PAYMENT RESTRICTIONS (Except via the Bank)

(a) MAKING PAYMENT TO A PERSON OUTSIDE NEPAL



(b) TRANSFERRING RIGHT TO RECEIVE PAYMENT



(c) MAKING PAYMENT ON BEHALF OF A PERSON OUTSIDE NEPAL



OVERVIEW OF NEPALESE REGULATIONS ON SECURITIES & FOREIGN INVESTMENT

Based on Sections 10 and 10A of the Foreign Exchange Regulation Act

SECTION 10: RESTRICTIONS ON EXPORT AND TRANSMISSION OF SECURITIES

GENERAL RULE: PROHIBITED
(Unless specified by Nepal Rastra Bank)



(a) NO EXPORT OF SECURITIES outside Nepal

Includes physical export



(b) NO TRANSMISSION OF SECURITIES to a person residing outside Nepal

Includes loans or securities as transmission



(c) NO GIVING SECURITIES to a person outside Nepal

For earning, use, control, or other purpose

EXPLANATION

Transmission includes loans or securities to a transmission of securities investment.



SECTION 10A: REGULATION OF INVESTMENT ABROAD

ALLOWABLE INVESTMENTS

(1) ALLOWABLE ENTITIES FOR INVESTMENT ABROAD



(a) Specific Industries (Exempted under Foreign Investment Prohibition Act)



(b) Information Technology Industries (as per per relevant law)



(c) Foreign Investors' foreign currency (received via specific law)

Foreign Investment & Technology Transfer Act

(2) EMPLOYEE SHARE SCHEMES



Nepali Employees & Foreign Schemes

Employees in Nepal can acquire shares from foreign parent/ subsidiary companies **WITHOUT** remittance of convertible currency. They can earn income.

(3) OVERALL CONDITIONS & LIMITS







Nepal Rastra Bank Determination

Conditions, sectoral limits, and other provisions are determined by NRB via public notice.

Source: Sections 10 & 10A

SECTION 10B & 10C: REGULATION OF FOREIGN EXCHANGE IN NEPAL

SECTION 10B: LENDING & BORROWING IN FOREIGN EXCHANGE



LENDING LOAN

Except in accordance with law & public notice from the Bank.

NO PERSON SHALL LEND A LOAN IN FOREIGN EXCHANGE



GUIDE TO INVESTIGATIVE POWERS (FOREIGN EXCHANGE ACT)

1. POWER TO DEMAND STATEMENTS (Section 11)



Demand statements, books of account, or documents for act objectives.

2. DESIGNATION OF INVESTIGATING OFFICER (Section 11A)





Designate officer to inquire and investigate into offences.



3. SEARCH FOR SUSPICIOUS PERSON (Section 11B)

Search by Gazetted officer (min. 2nd class) on doubt.



Woman's body **ONLY** by a female.





IF FOUND: Take custody of foreign exchange or documents.

IF FOUND: custody of foreign exchange or documents.



Made with **2 LOCAL WITNESSES.** Witness statement and signature.

4. STOP AND SEARCH MOTOR VEHICLE (Section 11C)



If doubt about act contravention or concealed exchange.



Stop vehicle anytime/place. Search and examine any part of the vehicle and goods.



IF FOUND: Take custody of foreign exchange or documents.

Section 11D: POWER TO SEARCH BUILDING OR PLACE OF TRANSACTION

1 AUTHORIZATION & BELIEF

Adequate Reason to Believe Foreign Exchange Concealed or Held



2 DEPUTED EMPLOYEE

Search Performed by Employee of at least Gazetted Second Class



3 NOTICE & AFFIXING

Give Notice to Occupants. If not received, affix copy to conspicuous place. Deemed received.



4 SEARCH ALLOWED

After Notice, Deputed Employee shall be allowed to search the building or place of transaction.

5 HINDRANCE & NECESSARY FORCE

Obstruction? Opportunity to Leave.
If still hindered, necessary force may be used (Breaking locks, doors, windows).



6 SEIZURE OF EVIDENCE

If Foreign Exchange or Documents in contravention are found, they are taken into custody.



7 WITNESSES & DOCUMENTATION

Search with Local Witnesses (Rural Municipality or Municipality members, or 2 Dignitaries).
Prepare a statement of findings. Witnesses must sign.



GUIDE TO SECTIONS 11E, 11F, & 11G: LEGAL POWERS & RULES

SECTION 11E: POWER TO ARREST

GENERAL PROCEDURE

1. INVESTIGATING OFFICER HAS SUFFICIENT REASON TO SUSPECT ACT IN VIOLATION
2. APPLY TO COURT FOR ARREST WARRANT
3. COURT ISSUES WARRANT
4. PERSON ARRESTED AT ANY PLACE

EXCEPTIONS:

IMMEDIATE ARREST (URGENT WARRANT)

- NOT ARRESTED IMMEDIATELY
- PERSON ESCAPES
- REASONABLE CAUSE TO DESTROY EVIDENCE
- ABSCONDING PERSON FOUND
- IN THE ACT OF COMMITTING THE OFFENCE
- PRESENT IN THE PRESENCE OF THE OFFICER

PRODUCED BEFORE COMPETENT AUTHORITY WITHIN 24 HOURS (EXCL. TRAVEL)

SECTION 11F: POWER TO HOLD IN DETENTION



SECTION 11G: PROHIBITION ON DIVULGENCE OF SECRECY

OFFICER'S OBLIGATION: MAINTAIN SECRECY

- DO NOT DIVULGE SECRECY OF MATTER OR DOCUMENT KNOWN IN CAPACITY
- APPLIES TO SUBORDINATE EMPLOYEES

EXCEPTIONS

- WHERE DISCLOSURE IS REQUIRED BY PREVAILING LAW
- ADJUDICATING AUTHORITY'S ORDER (If necessary for or evidence in another case, to authorised person)

INFOGRAPHIC DESIGN

NEPAL FOREIGN EXCHANGE REGULATION (SECTIONS 11H - 14): KEY PROCEDURES & POWERS

1 INVESTIGATION & REPORTING
Section 11H, 11I, 11J

A) IMMEDIATE RECEIPT



Section 11I: To Give Receipt
A receipt with details must be given immediately when taking foreign exchange or documents into custody.

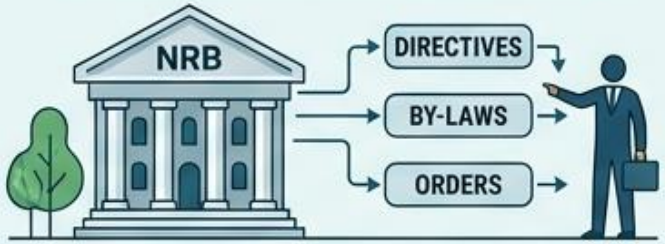
B) MONTHLY REPORT



Section 11J: To Submit Report
The investigating officer submits a monthly report of actions to the Government.

2 BANK POWERS & PROHIBITIONS
Section 12 & 13

C) BANK'S POWER TO DIRECT



Section 12: Power of Bank
To issue directives, frame By-Laws, orders or notices for implementation.

D) PROHIBITION ON CONTRACTS



Section 13: Prohibition
No contracts in contravention of this Act, Rules, By-laws, or Orders.

3 INSPECTION
Section 14

E) ACCESS TO DOCUMENTS



Section 14(1) & (2): Licensee Duty
Goverment/Bank can inspect. Licensees must submit all requested accounts, books, and documents within time limits.

F) INQUIRY & CUSTODY



Section 14(3), (5) & (6): Inspector Powers
Inquiry (written/verbal). If found in contravention, take foreign exchange/docs in custody or seal them. Must have witnesses and prepare a signed statement.

NEPAL: SECTIONS 15 & 16 - DIRECTIVES AND ACCOUNT OPENING

SECTION 15: POWER OF THE GOVERNMENT OF NEPAL TO GIVE DIRECTIVES





GOVERNMENT OF NEPAL

Government may give directives to the Bank from time to time...
Bank shall abide for activities under this Act.



NEPAL RASTRA BANK (BANK)





SECTION 16: PERMISSION OF THE BANK TO BE OBTAINED TO OPEN AN ACCOUNT

1) PERMISSION TO OPEN A FOREIGN ACCOUNT



2) BANK'S POWER IN PERMISSION



Bank may demand required statements and specify terms and conditions.

3) OPERATION & USE OF FOREIGN ACCOUNT



Operation and use as specified by the Bank by publishing public notice.

4) FOREIGN CURRENCY ACCOUNTS IN NEPAL

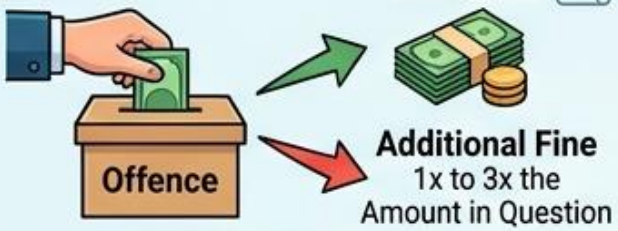


Opening, operation, use by Nepalese or registered entities within Nepal...
as specified by the Bank via public notice.

NEPAL RASTRA BANK

PENALTIES UNDER THE FOREIGN EXCHANGE ACT: SECTION 17

1 Basic Violation.



Contravention of Act/Rules.
Foreign exchange related to offence is forfeited.
Fine: Amount in Question to 3x.

2 Forfeiture Not Possible.



Where forfeiture is not possible:
Amount in question fixed, plus
1x to 3x fine.

3 Unknown Amount.



Amount cannot be set:
Fine up to 200,000 Rupees
(based on gravity).

4 Employee Malice.



Employee Malice/Secrecy Divulging:
Fine up to 100,000 Rupees.

5 Corporate Responsibility.



Firms/Companies: Responsible Directors, Employees, Agents liable.
Provided: (1) Uninformed, or (2) Proved best efforts to prevent = No liability.

6 Importer Violations.



Import Violations: Over-invoicing, Procedural, Delayed/Non-import. Fine: Equal to Amount to 3x additional.

7 Exporter Violations.



Exporter Violations: Sections 9A, 9B, 9C.
Fine: Equal to Amount to 2x additional.

8 Accomplices.



Accomplice/Aiding Importer/Exporter:
Half the punishment of the main offender.

9 Failure to Pay Fine.



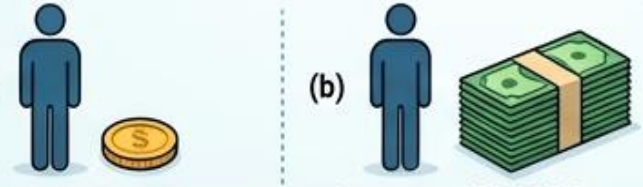
Failure to Pay Fine:
Imprisonment up to 4 years.

10 High Value Offences.



High Value Offences (>= 10 Million Rupees):
Additional Imprisonment up to 3 years.

11 Bail Provisions.



Amount < 100,000 Rupees:
Personal Bail.

Amount > 100,000 Rupees:
Security/Bail equal to Amount in Question/Gravity.

12 Detention.



Failure to Provide Security/Bail:
Action by Detention.

13 Special Persons.



Constitutional Body/Political Appointee Offender: Double Punishment.
Imprisonment not to exceed additional 2 years.

'INQUIRY AND INSTITUTION OF CASE: SECTIONS 18, 18A, AND 18B'

SECTION 18: INQUIRY AND INSTITUTION OF CASE

VERBAL OR WRITTEN INFORMATION

Government of Nepal / Bank Authorized Person

Government Attorney or Authorized Officer

Receives Information on Contravention of Act, Rules, By-laws, Orders, Notices, or Directions.

INQUIRE INTO THE MATTER

If found after inquiry

Found Violation and Acted in Contravention

INSTITUTE A CASE AGAINST THE PERSON

SECTION 18A: FILING OF CASE



1) **Investigating Officer files case relating to offence under this Act**

In the name of the Government of Nepal



2) **Investigating Officer SHALL** consult the **Government Attorney** before filing

SECTION 18B: CERTIFICATION OF COPY OF DOCUMENT RELATED TO FOREIGN EXCHANGE



1) **Investigating Officer makes a copy or photocopy of Foreign Exchange statement** taken into custody or pertaining statement and certifies the same.

CERTIFIED

2) Not withstanding prevailing law, **Certified copy or photocopy may be produced as EVIDENCE** in a case relating to the offence



Based on Legal Provisions

19 SECTION 19: DOCUMENT TO BE VOID

VOID

Contracts/Documents Voidable
if executed in violation of Section 13



Order of the Court

Voidable by a court trying the case under this Act.

GOVERNMENT OF NEPAL

20 SECTION 20: REWARD FOR PROVISION OF INFORMATION

1) REWARD CONDITIONS & AMOUNT

Informant → Government Authority

- Give Information
- On contravention of Act/Rules/Orders
- Foreign exchange seized
- Offence proved based on info

REWARD: 20% OF SEIZED AMOUNT
(converted to Nepali Currency)

100% · 20%

GOVERNMENT OF NEPAL

2) REWARD PAYMENT

Seized Currency → Final Settlement of Case → Payment of Reward to Informant

21 SECTION 21: CLAIM OR COMPLAINT NOT TO LIE

1) GOOD FAITH PROTECTION



No legal action against person for acts done in good faith according to this Act/Rules.

2) NO CLAIMS FOR LOSSES

LOSS/DAMAGE DUE TO NON-PROVISION OF FOREIGN EXCHANGE
by Govt, Bank, or Licensee

NO CLAIM OF ANY KIND MAY BE MADE

(Except if done knowingly or recklessly)

SECTION 22: POWER TO FRAME RULES

- GOVERNMENT OF NEPAL (GON)
- on
- In consultation with
- NEPAL RASTRA BANK (NRB)
- TO FRAME RULES FOR IMPLEMENTING THE OBJECTIVES OF THIS ACT



SECTION 23: REPEAL

THE FOREIGN EXCHANGE CONVERSION CONTROL ACT, 2017

IS HEREBY REPEALED



SECTION 24: EXISTING LICENSES

LICENSES ISSUED UNDER THE REPEALED ACT (2017)

Unless otherwise ordered by the Bank (NRB)

SHALL BE DEEMED TO HAVE BEEN ISSUED UNDER SECTION 3 OF THIS ACT

On such terms and for such period specified in licenses



Source: Legal Provisions

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